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TECH

Nvidia Tops Sales Guidance, Gives Strong Outlook

Chip maker last month unveiled successor to current Titan product

By Josh Beckerman

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Nvidia Corp. posted net income of \$253 million, or 40 cents a share, for the quarter ended July 31. REUTERS

Nvidia Corp. NVDA **-3.96%** ▼ said its second-quarter profit surged as the chip maker exceeded its revenue guidance and saw strong demand for its new products.

Nvidia shares rose 2.5% to \$61.29 in after-hours trading.

The company projects revenue of \$1.68 billion, plus or minus 2%, for the third quarter. Analysts polled by Thomson Reuters projected \$1.45 billion.

Nvidia, based in Santa Clara, Calif., is a prominent name in graphics processing units used in gaming software. It has expanded in many new sectors ranging from virtual

reality to self-driving cars.

“Strong demand for our new Pascal-generation GPUs and surging interest in deep learning drove record results,” Chief Executive Jen-Hsun Huang said in prepared remarks.

For the quarter ended July 31, net income was \$253 million, or 40 cents a share, compared with \$26 million, or 5 cents a share, a year earlier. Excluding stock-based compensation and other items, earnings rose to 53 cents a share from 34 cents a share.

Revenue increased 24% to \$1.43 billion, compared with Nvidia’s guidance of \$1.35 billion, plus or minus 2%.

Gaming platform revenue was \$781 million, up 18%, while professional visualization revenue from Quadro rose 22% to \$214 million.

The company posted \$119 million of automotive revenue from infotainment modules and product development contracts, a 68% increase.

Last month, Nvidia unveiled a new chip for well-heeled gaming enthusiasts that it hopes will also appeal to artificial-intelligence specialists. The new Titan X chip, the successor to a current model under the same name, is packaged on an add-in card for personal computers for \$1,200. The chip packs 12 billion transistors on a piece of silicon, compared with around seven billion for a high-end microprocessor of the kind sold by Intel Corp.

—*Don Clark contributed to this article.*

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